TENTATIVE RULINGS

DEPT CX102

Judge Layne H. Melzer

Court Reporters: Official court reporters (i.e., court reporters employed by the Court) are **NOT** typically provided for law and motion matters in this department. If a party desires a record of a law and motion proceeding, it will be the party's responsibility to provide a court reporter. Parties must comply with the court's policy on the use of privately retained court reporters which can be found on the court's website at Court Reporter Services | Superior Court of California | County of Orange.

Tentative rulings: The court endeavors to post tentative rulings on the court's website in the morning, prior to the afternoon hearing. However, ongoing proceedings such as jury trials may prevent posting by that time. Tentative rulings may not be posted in every case. Please do not call the department for tentative rulings if tentative rulings have not been posted. The court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on tentative rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5302. Please do not call the department unless all parties submit on the tentative ruling. If all sides submit on the tentative ruling and so advise the court, the tentative ruling shall become the court's final ruling and the prevailing party shall give notice of the ruling and prepare an order for the court's signature if appropriate under Cal. R. Ct. 3.1312.

Non-appearances: If nobody appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

APPEARANCES: Department CX102 conducts non-evidentiary proceedings, such as law and motion, remotely, by Zoom videoconference pursuant to CCP §367.75, California Rule of Court (CRC) 3.672 and Orange County Local Rule (OCLR) 375. All counsel and self-represented parties appearing for such hearings must check-in online through the Court's civil video appearance website at Civil Remote Hearings | Superior Court of California | County of Orange prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Participants will initially be directed to a virtual waiting room pending the start of their specific video hearing. Check-in instructions and instructional video are available on the website. The Court's "Appearance Procedures and Information--Civil Unlimited and Complex" ("Appearance Procedures") and "Guidelines for Remote Appearances" ("Guidelines") contained on the Court's website will be strictly enforced. Parties preferring to appear in-person for law and motion hearings may do so pursuant to CCP §367.75 and OCLR 375.

PUBLIC ACCESS: The courtroom remains open for all evidentiary and non-evidentiary proceedings.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

TENTATIVE RULINGS 8/20/2026 02:00 PM

100	**Allison-Wright vs. Aperto Property Management, Inc.** **2023-01312346**	**Final Accounting** The settlement administrator, CPT Group, Inc., has confirmed that the distribution of the settlement funds has been completed and made in accordance with the terms of the settlement that were approved by the Court. As Plaintiffs have shown that the administrator's work is complete, the Court's file may now be closed. Plaintiffs are ordered to give notice of this ruling to Defendant.
101	**Fan vs. Cybercoders, Inc.** **2021-01207940**	**1. Final Accounting** **2. Order to Show Cause re: Monetary Sanctions** **The Final Accounting hearing is continued to January 7, 2027 at 2:00 p.m. in Department CX102**. Plaintiff is ordered to file a declaration no later than 16 court days prior to the hearing regarding the status of distribution efforts. <u>If the settlement funds are not completely disbursed by the report deadline, including all unclaimed funds, counsel must request a continuance</u>. **OSC re: Monetary Sanctions** The court has reviewed and considered counsel's response to the OSC re: monetary sanctions. ROA 156. Counsel has failed to show good cause for his failure to file a timely final report. Accordingly, the court orders attorney Richard Kim to pay monetary sanctions in the amount of $250.00. Sanctions shall be paid to the clerk of the court no later than 10 calendar days from the date of this order. The court also sets an OSC re: monetary sanctions against plaintiff's counsel Richard Kim for the same date and time due to the failure (again) to file a timely final accounting report, as previously ordered. ROA 146. Any response to the OSC must be filed no later than 16 court days prior to the hearing. Plaintiff to give notice.

102	**Kim A. Le vs. United Medical Imaging, Inc.** **2017-00962710**	**Final Accounting** The court finds all settlement distribution efforts are fully concluded. The administrator's final report (ROA 510) is thus approved, and the court's file will be closed. Plaintiff to give notice of the court's ruling, including to the LWDA, within five (5) calendar days, and file proof of service. Plaintiff to also file proof of service of ROA 510 on the LWDA.
103	**Walter vs. Capo Beach Healthcare, LLC** **2024-01409294**	**Final Accounting** Plaintiff Joan S. Walter's Final Accounting hearing **is CONTINUED to March 4, 2027, at 2:00 p.m. in Department CX102** to confirm that the amount of the uncashed funds after the check-cashing deadline have been delivered to the State Controller's Office Unclaimed Property Fund in the names of the applicable payees, that the administrator's work is complete, and that the Court's file thus may be closed. All supporting papers must be filed at least sixteen (16) court days before the continued hearing date. If the settlement funds are not completely disbursed by the report deadline, Class Counsel must request a continuance. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions. Plaintiff is ordered to give notice of this ruling to Defendant.
104	**MeriCal, LLC vs. Green Jeeva, LLC** **2026-01548478**	**Motion to Appear Pro Hac Vice** Defendant/Cross-Complainant Green Jeeva, LLC's application for pro hac vice admission of attorney Jason D. Smith is **GRANTED**. On or before the anniversary of the date of this order, if this attorney remains counsel for the moving party, the moving party must pay an annual renewal fee of five hundred dollars ($500) for each year that the attorney maintains pro hac vice status in this case. (Gov. Code, § 70617, subd. (e)(2).) Moving party shall provide notice.
105	**DMS 2 LLC vs. Levecke Corporation** **2023-01360387**	**1. Demurrer to Amended Complaint** **2. Case Management Conference** Defendant Kercsmar & Feltus's ("K&S") Demurrer to Plaintiff's Second Amended Complaint is **OVERRULED**. **Meet and Confer Requirement** As an initial matter, Plaintiff DMS 2 LLC contends that K&S failed to comply with the meet-and-confer requirements of Code of Civil Procedure (CCP) section 430.41 for the demurrer because the meet-and-confer correspondence cited by K&S in its motion were from August 2025, which related to Plaintiff's previous motion for leave to file the second amended

		complaint ("SAC"), rather than specifically about the instant demurer. (See ROA #304, Opp., pp. 3-4.) K&S responds that the SAC the motion for leave sought to file is the same SAC as the now operative complaint, and K&F's meet and confer correspondence in connection with that motion to leave already explained to Plaintiff K&S's position on why the SAC failed to state a cause of action and supported that position with the same authorities cited in the instant demurrer. (ROA #312, Reply, at pp. 2-3.) Plaintiff failed to respond, did not participate in a call as requested, did not offer any amendment, and did not identify legal support for the sufficiency of the pleading. (*Id.* at p. 3.) Accordingly, K&S contends that the purpose of CCP section 430.41's meet and confer requirement has already been satisfied, even though technically the meet-and-confer correspondence related to Plaintiff's motion for leave to amend as opposed to K&S's instant demurrer. (*Id.* at pp. 2-3.) CCP section 430.41, subdivision (a) requires that the parties meet and confer "for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer." It appears to the Court that the parties could not have reached an agreement as to the objections raised by the instant demurrer based upon the parties' meet and confer efforts in August 2025. In any case, even if K&S's August 2025 meet and confer was insufficient to comply with this purpose, "[a] determination by the court that the meet and confer process was insufficient shall not be grounds to overrule or sustain a demurrer." (CCP, § 430.41, subd. (a)(4).) Therefore, the Court will consider and rule on the merits of the demurrer. **Merits** The crux of K&S's demurrer rests entirely upon whether the usual notice pleading standard or a heightened pleading standard applies to the sole cause of action alleged against K&S in the SAC—i.e., the 2nd cause of action for aiding and abetting fraudulent transfer. K&S contends that a heightened pleading standard applies and that the SAC fails to meet that standard because it "fails to provide specific facts of how and where any aiding and abetting occurred, which is required to sustain an[ ] action for fraud." (ROA #272, Dem. P&A, p. 17.) However, K&S has cited no cases holding that an aiding and abetting cause of action is subject to heightened pleading standards. K&S first cites *Opperman v. Path, Inc.* (N.D. Cal. 2014) 87 F.Supp.3d 1018, 1035. (Dem. P&A at p. 7.) However, the cited page of the opinion states only that "fraud claims are subject to a heightened pleading standard" under Federal Rules of Civil Procedure (FRCP), rule 9(b). (*Opperman*, *supra*, at p. 1035.) While analyzing the plaintiffs' misrepresentation claims and fraudulent transfer claims in that case, the *Opperman* court applied Rule 9(b)'s heightened pleading standards. (*Id.* at

pp. 1045, 1066.) However, when discussing the plaintiffs' aiding and abetting claims, the court made no mention of Rule 9(b). Therefore, *Opperman* does not support K&S's contention.

K&S also cites *Hall v. Dept. of Adoptions of Los Angeles County* (1975) 47 Cal.App.3d 898, 904. (Dem. P&A at p. 17 [citing *Hall* for the proposition that "failure to provide specific facts of how and where any aiding and abetting occurred, which is required to sustain and action for fraud"].) But *Hall* did not even involve an aiding and abetting claim.

Under California law, "[l]iability may be imposed on one who aids and abets the commission of an intentional tort if the person (a) knows the other's conduct constitutes a breach of duty and gives substantial assistance or encouragement to the other to so act or (b) gives substantial assistance to the other in accomplishing a tortious result and the person's own conduct, separately considered, constitutes a breach of duty to the third person." (*Casey v. U.S. Bank National Assn.* (2005) 127 Cal.App.4th 1138, 1144, internal quotes & ellipsis omitted.) The parties here do not dispute that Plaintiff proceeds under the first prong of this test with respect to the 2nd cause of action against K&S.

Under this first prong, Plaintiff must prove (1) K&S's "actual knowledge of the primary violation" and (2) that K&S gave "substantial assistance." (*Id.* at pp. 1145, 1148.)

Based on the Court's independent research and review of the relevant caselaw on the applicable pleading standard for an aiding and abetting cause of action when the underlying tort relates to fraud, it appears that a heightened pleading standard does not apply to the first element of "actual knowledge" but does apply to the second element of "substantial assistance."

In *Casey*, the California Court of Appeal analyzed whether plaintiffs had sufficiently pleaded a cause of action for aiding and abetting fraud, and the court favorably cited a federal district court case, *Neilson v. Union Bank of California, N.A.* (C.D.Cal. 2003) 290 F.Supp.2d 1101, for the proposition that "it is sufficient for a pleading to 'allege *generally* that defendants had actual knowledge of a specific primary violation.'" (*Casey*, *supra*, 127 Cal.App.4th at p. 1148, emphasis added, quoting *Neilson*, *supra*, 290 F.Supp.2d at p. 1120.) Indeed, in *Neilson*, the Central District had held that "while fraud must be pled with specificity, . . . knowledge . . . of a person may be averred *generally*," which "obviates the necessity of pleading detailed facts supporting allegations of knowledge." (*Neilson*, *supra*, 290 F.Supp.2d at p. 1119, emphasis added.) Thus, "[g]enerally, courts have found pleadings sufficient if they allege *generally* that defendants had actual knowledge of a specific primary violation." (*Id.* at p. 1120, emphasis added.)

Although federal pleading standards do not apply in California courts, California pleading standards are in accord on this point regarding pleading knowledge. "[L]ess specificity is required of a complaint when 'it appears from the nature of the allegations that the defendant must

		necessarily possess full information concerning the facts of the controversy' . . . [and] . . . 'when the facts lie more in the knowledge of the opposite party.'" (*Tenet Healthsystem Desert, Inc. v. Blue Cross of Cal.* (2016) 245 Cal.App.4th 821, 838, quoting *Com. on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 217; see also *Thomas v. Regents of University of Cal.* (2023) 97 Cal.App.5th 587, 611, internal quotes omitted ["less specificity is required in pleading matters of which the defendant has superior knowledge," including "a defendant's knowledge or notice or intent"].) The court in *Neilson* did, however, hold that the "substantial assistance" element of the first prong of California's aiding and abetting test must be pled with specificity. (*Neilson*, *supra*, 290 F.Supp.2d at p. 1130 & fn. 81.) Applying this pleading standard to the instant case, the Court finds that the SAC states sufficient facts to state an aiding and abetting fraudulent transfer cause of action against K&S, regardless of whether the underlying fraudulent transfer claim is under California common or statutory law. As to actual knowledge, which need not be pled with specificity, the SAC adequately alleges generally that K&S had actual knowledge of the primary violation. (ROA #2, SAC, ¶¶ 15 , 27-28, 40, 42.) As to substantial assistance, the SAC adequately alleges with specificity that K&S gave substantial assistance, including by detailing the 7 specific types of acts K&S engaged in that constitute substantial assistance. (*Id.* at ¶¶ 25-26, 40, 41(a)-(g), 42.) These allegations are sufficient to give "notice to the defendant, to 'furnish the defendant with certain definite charges which can be intelligently met.'" (*Tenet*, *supra*, 245 Cal.App.4th at p. 838, quoting *Com. on Children's Television*, *supra*, 35 Cal.3d at pp. 216-217.) Therefore, the Court **OVERRULES** K&S's demurrer because the 2nd cause of action alleges facts sufficient to constitute a cause of action. (CCP, § 430.30, subd. (e).) The Court also notes that although "failure to state facts sufficient to constitute a cause of action" was the only ground cited in K&S's notice of demurrer and demurrer (ROA #276, Not. of Dem. & Dem., p. 2), K&S's moving memorandum of points and authorities also make arguments about the SAC being "uncertain" (Dem. P&A, pp. 8, 14-15). "A basic principle of motion practice is that the moving party must specify for the court and the opposing party the grounds upon which that party seeks relief." (*Luri v. Greenwald* (2003) 107 Cal.App.4th 1119, 1125.) Moreover, CCP section 1010 requires that a "notice of motion . . . must state . . . the grounds upon which it will be made." California Rules of Court (CRC), rule 3.1110(a) also requires that "[a] notice of motion must state in the opening paragraph the nature the nature of the order being sought and the grounds for issuance of the order." Thus, "[a]s a general rule, the trial court may consider only the grounds stated in the notice of motion." (*Luri*, *supra*, 107 Cal.App.4th at p. 1125.)

		That said, "[a]n omission in the notice may be overlooked if the supporting papers make clear the grounds for the relief sought," as "[t]he purpose of these requirements is to cause the moving party to sufficiently define the issues for the information and attention of the adverse party and the court." (*Id.*, internal quotes omitted.) Here, Plaintiff obviously saw and even responded to K&S's "uncertainty" arguments in K&S's moving memorandum of points and authorities. (Opp. at pp. 9-10.) Therefore, the Court will also consider and rule on the merits of Defendant's demurrer based on uncertainty. Uncertainty is a disfavored ground for demurrers because "ambiguities can be clarified under modern discovery procedures." (*Khoury v. Maly's of Cal., Inc.* (1993) 14 Cal.App.4th 612, 616.) Demurrers for uncertainty should be "granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond." (*A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 695, internal quotes omitted.) Here, K&S appears to contend that it is uncertain whether the SAC's 1st cause of action for civil conspiracy applies to K&S. (See Dem. P&A, p. 15.) It is true that the SAC at ¶ 17 excludes K&S from the definition of "co-conspirator." Moreover, on page 8 of the SAC, directly under the heading for the 1st cause of action for civil conspiracy, the SAC does not list K&S as among the defendants to whom the 1st cause of action is directed. But it is also true that in ¶ 32, which appears within the 1st cause of action for conspiracy, the SAC alleges that "[t]hese wrongful acts by the Defendants named in this cause of action, including but not limited to co-defendants KERCSMAR & FELTUS, in furtherance of the Conspiracy, caused damage to Plaintiff as described herein." Therefore, ¶ 32 appears to create an ambiguity. ***However, that ambiguity has been resolved by Plaintiff's opposition, which states in no uncertain terms that "[t]he only claim asserted against K&F is the Second Cause of Action" for aiding and abetting.*** Therefore, the Court also **OVERRULES** K&S's demurrer to the SAC based on uncertainty. Plaintiff shall give notice.

106	**Chang vs. HIOSSEN, Inc., a California corporation** **2025-01535790**	**Motion for Leave to File Amended Complaint** **VACATED PER STIP AND ORDER**
108	**Ruiz vs. Youstina** **2025-01489341**	**1. Motion to Compel Production/Inspection of Documents or Things (ROA 42)** **2. Motion to Compel Answers to Special Interrogatories (ROA 43)** **CONTINUED PER STIP AND ORDER**
109	**Balt USA, LLC vs. Treadstone Medical LLC** **2021-01237081**	**1. Motion to Seal (ROA 1814)** **2. Motion to Seal (ROA 1875)** Plaintiff Balt USA, LLC's two motions to seal filed at ROA #1814 and #1875 are **GRANTED**. Plaintiff's motion at ROA #1814 seeks to permanently seal the following: (1) Exhibits 3-6, 40, 53, 73-74, 80-81, 89, 91, and 114 to the Omnibus Declaration Of Eric Kohan In Support Of Plaintiff Balt Usa, LLC's Opposition To Motion For Summary Adjudication As To The Catheter Access Puncture Tool And Braided Stent (ROA #1812 [Kohan Omnibus Decl. 1]), including ROA #1819, 1826, 1831, and 1832 [additional exhibit volumes to Kohan Omnibus Decl. 1]); (2) Portions of Plaintiff's Opposition to Motion for Summary Adjudication as to the Catheter Access Puncture Tool (ROA #1823), which reference those exhibits; (3) Portions of Plaintiff's Separate Statement of Undisputed Material Facts in Opposition to Defendants' Motion for Summary Adjudication as to the Catheter Access Puncture Tool (ROA #1824), which reference those exhibits; (4) Portions of Plaintiff's Opposition to Motion for Summary Adjudication as to the Braided Stent (ROA #1821), which reference those exhibits; and

		(5) Portions of Plaintiff's Separate Statement of Undisputed Material Facts in Opposition to Defendants' Motion for Summary Adjudication as to the Braided Stent (ROA #1822 and 1867), which reference those exhibits. Plaintiff's motion at ROA #1875 seeks to seal the following: (i) Exhibits 118-119 to the Omnibus Declaration of Eric Kohan in Support of Plaintiff Balt Usa, LLC's Opposition To Motion for Summary Adjudication As To The Electrocautery Device and Tinnitus Stent (ROA #1879 [Kohan Omnibus Decl. 2]); (ii) Portions of Plaintiff's Opposition to Motion for Summary Adjudication Regarding the Electrocautery Device (ROA #1870), which reference those exhibits; (iii) Portions of Plaintiff's Separate Statement of Undisputed Material Facts in Opposition to Defendants' Motion for Summary Adjudication as to the Electrocautery Device (ROA #1872), which reference those exhibits; (iv) Portions of Plaintiff's Opposition to Motion for Summary Adjudication as to the Tinnitus Stent, which reference those exhibits; and (v) Portions of Plaintiff's Separate Statement of Undisputed Material Facts in Opposition to Defendants' Motion for Summary Adjudication as to the Tinnitus Stent (ROA #1873), which reference those exhibits. "Unless confidentiality is required by law, court records are presumed to be open." (Cal. Rules of Court [CRC], rule 2.550(c).) "The court may order that a record be filed under seal only if it expressly finds facts that establish: (1) [t]here exists an overriding interest that overcomes the right of public access to the record; (2) [t]he overriding interest supports sealing the record; (3) [a] substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; (4) [t]he proposed sealing is narrowly tailored; and (5) [n]o less restrictive means exist to achieve the overriding interest." (CRC, rule 2.550(d).) However, this rule "does not apply to records that are required to be kept confidential by law" (CRC, rule 2.550(a)(2)), such as "[a] document which is protected by the lawyer-client privilege" (*Huffy Corp. v. Super. Ct.* (2003) 112 Cal.App.4th 97, 108). Overriding interests include a substantial probability that the movant's business, competitiveness, and privacy rights will be adversely affected if the record is not sealed. (See, e.g., *Overstock.com, Inc. v. Goldman Sachs Group, Inc.* (2014) 231 Cal.App.4th 471, 503, internal quotes & citations omitted [right to privacy "extends to one's confidential financial affairs" and "embraces confidential financial information in whatever form it takes, whether that form be tax returns, checks, statements, or other account information"]; *McGuan v. Endovascular Technologies, Inc.* (2010) 182 Cal.App.4th 974, 988-989 [affirming order granting motion to seal documents containing trade secrets]; see also *Nixon v. Warner Communications, Inc.* (1978) 435 U.S. 589, 598 [recognizing sealing appropriate for "sources of business information that might harm a

		litigant's competitive standing"]; *Hecht, Solberg, Robinson, Goldberg & Bagley LLP v. Super. Ct.* (2006) 137 Cal.App.4th 579, 594 ["Although corporations have a lesser right to privacy than human beings and are not entitled to claim a right to privacy in terms of a fundamental right, some right to privacy exists"]; *Universal City Studios, Inc. v. Super. Ct.* (2003) 110 Cal.App.4th 1273, 1286 [denying motion to seal due to public disclosure, but finding that normally, sealing is appropriate where "information involves confidential matters relating to the business operations of defendant" and "public revelation of these matters would interfere with its ability to effectively compete in the marketplace"].) The moving party bears the burden of "(1) identifying the specific information claimed to be entitled to such treatment[and] (2) identifying the nature of the harm threatened by disclosure." (*H.B. Fuller Co. v. Doe* (2007) 151 Cal.App.4th 879, 894 [additionally, the court must also "(3) identify[ ] and account[ ] for countervailing considerations"].) "This means at a minimum that the [moving] party . . . must come forward with a specific enumeration of the facts sought to be withheld and specific reasons for withholding them." (*Id.*) Indeed, CRC rule 2.551(b)(1) requires that a motion to seal "must be accompanied by a memorandum and a declaration containing facts sufficient to justify the sealing." Here, Plaintiff submitted declarations attesting that the material sought to be sealed contain highly sensitive, non-public information that, to Plaintiff's knowledge, has not been made public. The information includes internal business strategies, including the status of Balt's current development efforts, and proprietary operational data; marketing specifications, market research and clinician feedback compiled at significant corporate expense to guide the ongoing design of Balt's products; confidential operational data including, but not limited to, its quality systems, research and development, manufacturing, and finance systems, along with its confidential business plans; confidential detailed description of products, their proposed use and proposed indication, information about their intended user, and the competitive environment; pricing information relating to various products; compensation amount Balt pays its consulting physicians; confidential information about Balt's consultants, including involvement and contributions to Balt's products; and research and development projects, active innovation projects, potential R&D projects and R&D organizational details. (ROA #1806, passim; ROA #1847, passim.) Accordingly, the Court finds that Plaintiff has met the procedural requirements for the instant motion and sufficiently demonstrated overriding interests support sealing the requested items. The Court notes that an unredacted version of Plaintiff's Opposition to Motion for Summary Adjudication as to the Tinnitus Stent has not yet been filed conditionally under seal, unlike all the other items sought to be permanently sealed. Plaintiff is **ORDERED** first file an unredacted version of this opposition conditionally under seal within three (3) court days of this ruling.

		Within (5) court days of this ruling, Plaintiff is also **ORDERED** to submit revised proposed orders on the two instant motions, setting forth the information required by CRC rule 2.550(e)(1)(A), as well as identifying the specific filings—by pleading title and ROA number—that are to be sealed in accordance with this ruling. Plaintiff shall give notice.
110	**Quiros vs. Feals, Inc.** **2026-01557178**	**Motion to Dismiss/Seal** On 5/26/2026, Plaintiff Eric Quiros filed a "Motion to Approve Dismissal and to Seal Portions of: (1) Declaration Of Plaintiff Eric Quiros In Support Of His Request For Dismissal Pursuant To CRC 3.770; (2) Declaration Of Scott J. Ferrell In Support Of Request For Dismissal Pursuant To CRC 3.770." (ROA #29.) On 6/18/2026, the Court signed and entered an Order of Dismissal dismissing the matter with prejudice as to Plaintiff's individual claims and without prejudice as to the putative class. (ROA #34.) Therefore, the motion to dismiss portion of the instant motion is now **MOOT**. The Court **GRANTS** Plaintiff's motion to seal the unredacted versions of the referenced declarations, which were lodged with the Court in accordance with Plaintiff's Notice of Lodging filed at ROA #21. The motion is narrowly tailored and seeks to seal only the amount of the settlement reached between Plaintiff and Defendant in this case. The Court finds that Plaintiff has proved facts that establish: (1) there exists an overriding interest that overcomes the right of public access to the record; (2) the overriding interest supports sealing the record; (3) a substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; (4) the proposed sealing is narrowly tailored; and (5) no less restrictive means exist to achieve the overriding interest. (Cal. Rules of Court [CRC], rule 2.550(d).) Accordingly, the Court **ORDERS** that the unredacted versions of the Quiros and Ferrell Declarations, lodged in accordance with the notice filed at RO A#21, be placed under permanent seal. Plaintiff shall give notice.

111	**Herrera vs. Kaiser Permanente International** **2022-01290908**	**Motion for Preliminary Approval** Plaintiffs Shasity Ray Herrera, Roberta Julie Zaragoza, and Mark Prado's Motion for Preliminary Approval of Class Action and PAGA Settlement, Approval of Notice to Class Members, Approval of Settlement Administrator, and Setting Hearing for Final Approval of Settlement, is **CONTINUED to January 8, 2027 at 2:00 p.m. in Department CX102** in order to give Plaintiffs' counsel an opportunity to address the issues identified below. This is a hybrid putative wage-and-hour class action, putative federal Fair Labor Standards Act ("FLSA") collective action, and PAGA case. On 11/9/2022, Plaintiff Shasity Ray Herrera filed a class action complaint against Defendants Kaiser Permanente International and Southern California Permanente Group, Inc., alleging various California Labor Code violations and unfair business practices under Business and Professions Code section 17200 et seq. (ROA #2.) On 1/17/2023, Plaintiff Herrera filed a first amended complaint, adding a cause of action for PAGA penalties. (ROA #12.) On 2/3/2023, Defendants answered the original complaint. (ROA #18.) On 2/14/2023, Defendants answered the first amended complaint. (ROA #21.) On 10/28/2024, the parties attended mediation and negotiated a complete settlement of the claims. (See ROA #91, Mot. for Prelim. Approval of Settlement, p. 2.) Thereafter, the operative second amended complaint (SAC) was filed on 7/16/2025 (ROA #63) pursuant to the parties' stipulation and the Court's order (ROA #61). The SAC (1) added two Plaintiffs, Roberta Julie Zaragoza and Mark Prado[1] and (2) added 3 claims, including an FLSA claim. (ROA #63.) On 5/22/2026, Plaintiffs filed the instant Motion for Preliminary Approval of the Class Action and PAGA Settlement, etc. ("Motion") and submitted the proposed "Class and Representative Action Settlement Agreement and Class Notice" ("Settlement" or "Settlement Agreement") and proposed Class Notice for the Court's review. The motion seeks preliminary approval of the parties' proposed settlement of all of Plaintiffs' claims for the non-reversionary gross settlement amount (GSA) of $7,930,000. The GSA includes $99,125 allocated for PAGA penalties and $64,600 allocated for the FLSA Settlement Fund. **Hybrid Action—Including FLSA Collective Action** The instant case is a "hybrid" case in which the operative complaint alleges (1) California state law wage-and-hour and UCL claims, which are

[1] Plaintiff Zaragoza had filed a wage-and-hour class action in Los Angeles County Superior Court, Case No. 24STCV26826, but dismissed that action on 7/23/2025 after the SAC was filed in this case.

subject to the parties' agreed upon *opt-out* class notice procedure; (2) a California state PAGA claim, the settlement of which Aggrieved Employees *may not opt out of*; and (3) a FLSA claim, which are subject to an *opt-in* requirement. Therefore, the settlement of this case must be properly structured to comply with all of the applicable requirements for opt-outs and opt-ins, and must also provide clear notice to Class Members, Aggrieved Employees, and FLSA Subclass Members as to their rights and the consequences of their actions taken in response to the notice.

In short, the proposed Settlement and Class Notice fail to do so.

"As background, the FLSA establishes standards for minimum wages and overtime pay, and it allows employees to bring collective actions against their employers for violating those standards. There is an inherent tension between FLSA collective actions and class actions. Class actions under California and federal law generally require class members to opt out to avoid being bound by the terms of a judgment. In contrast, an employee must opt in to become a plaintiff in an FLSA collective action. . . . Due to this tension, California courts have found FLSA actions cannot be maintained as class actions under state law." (*Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 539; see also *Haro v. City of Rosemead* (2009) 174 Cal.App.4th 1067, 1071-1072.)

More specifically, the FLSA provides that "[n]o employee shall be a party plaintiff to any action unless he gives his consent in writing to become such a party and such consent is filed in the court in which such action is brought." (29 U.S.C. § 216.) Therefore, "FLSA collective actions, unlike [Federal Rules of Civil Procedure,] Rule 23(b)(3) class actions and their state law analogues, are strictly *opt-in* actions. Workers cannot become plaintiffs to a collective action unless they first file a written consent with the court expressly joining the litigation." (*Rangel v. PLS Check Cashers of Cal., Inc.* (9th Cir. 2018) 899 F.3d 1106, 1109-1110, emphasis original, internal citation omitted; see also *Haro*, *supra*, 174 Cal.App.4th at p. 1072 ["The critical . . . difference between FLSA actions and class actions is the opt-in versus the opt-out feature"].) "If an employee does not file a written consent, then that employee is not bound by the outcome of the collective action." (*Edwards v. City of Long Beach* (C.D.Cal. 2006) 467 F.Supp.2d 986, 989.)

The instant Settlement proposes that the required consent to join the FLSA collective action be given by signing the back of the settlement check that will eventually be sent after final approval of this Settlement:

> Opt-in and release language regarding the release of the FLSA claim will be printed on the Individual Class Payment checks with instructions that cashing such check constitutes consent under the FLSA to opt into the collective action. The language to be included will be substantially similar to the following:
>
> "By endorsing or otherwise negotiating this check, I acknowledge that I read, understood, and agree to the terms set forth in the Notice of Class Action Settlement and I consent to join in the Fair

> Labor Standards Act ("FLSA") portion of the Action, elect to participate in the settlement of the FLSA claims, and agree to release all of my FLSA claims that are covered by the Settlement."

(ROA #97 [Counsel Decl.], Exh. 1 [Settlement], ¶ 4.3.1.1.)

The Settlement also proposes that the administrator may send a single check that combines (1) the Individual Class Payment, (2) the Individual PAGA Payment, *and* (3) the Individual FLSA Payment. (*Id.* at ¶¶ 1.31, 4.3.1.)

The Settlement further proposes that "[f]or any Class Member who opts out, the Administrator will send a check for only the Individual PAGA Payment." (*Id.* at ¶ 4.3.1.)

These proposals are problematic for 3 primary reasons, which are cogently explained by the Eastern District of California in 4 orders addressing a motion for preliminary approval of a settlement in a "hybrid" case similar to the instant case: [1] *Beltran v. Olam Spices and Vegetables, Inc.* (E.D.Cal., Jun. 2, 2020, No. 1:18-cv-01676-NONE-SAB) 2020 WL 2850211 ("*Beltran I*") (magistrate judge findings and recommendations); [2] *Beltran v. Olam Spices and Vegetables, Inc.* (E.D.Cal., Dec. 30, 2020, No. 1:18-cv-01676-NONE-SAB) 2020 WL 7769822 ("*Beltran II*") (district court judge order); [3] *Beltran v. Olam Spices and Vegetables, Inc.* (E.D.Cal., Mar. 23, 2021, No. 1:18-cv-01676-NONE-SAB) 2021 WL 1105246 ("*Beltran III*") (magistrate judge order); and [4] *Beltran v. Olam Spices and Vegetables, Inc.* (E.D.Cal., June 4, 2021, No. 1:18-cv-01676-NONE-SAB) 2021 WL 2021 WL 2284465 ("*Beltran IV*") (district court judge order).

1. The Proposed Settlement Applies an Opt-Out Procedure that Does Not Comply with the FLSA's Opt-In Requirement, and the Proposed Class Notice Is Inadequate

First, as the magistrate judge initially noted in *Beltran I*, numerous federal district courts in California "that have considered this [signed-check] procedure have found that it does not comply with the FLSA." (*Beltran I*, *supra*, at *12, citing cases.) Indeed, even just a few months ago, the Eastern District of California issued a to-be-published opinion confirming that "the cashing of a check to opt-in to an FLSA collective and release FLSA claims fails to satisfy FLSA's written consent requirements." (*Salinas v. Nestlé Purina PetCare Company* (E.D.Cal, Apr. 15, 2026, No. 1:21-cv-01140 JLT CDB) 2026 WL 1018655, at *10 (slip copy).)

The reason the signed-check procedure does not comply with the FLSA is because it essentially **applies an opt-out procedure rather than a true opt-in procedure**:

> Plaintiffs fail to address how opting-into the class by signing the settlement check complies with the requirement that the employee provide his consent in writing to become a party to this action. In essence, the settlement agreement *treats each employee as being*

		included in the FLSA settlement and the *failure to cash the check* would be the employee's decision to *opt-out*. (*Beltran I*, *supra*, 2020 WL 2850211, at *12, emphases added; see also *Duque v. Bank of America* (C.D.Cal., Oct. 12, 2018, No. SA CV 18-1298 PA (MRWx)) 2018 WL 11327751, at *2 [expressing "concern[ ] that the [signed-check] process established by the Settlement Agreement effectively transformed the FLSA collective into a Rule 23 opt-out class and was therefore inconsistent with the FLSA's 'opt-in' requirement," and finding that while the process "might be more efficient, result in a larger number of members opting into the collective, and prevent potential collective members from having their claims barred by the applicable FLSA statute of limitations, those potential benefits to the adoption of such a procedure do not allow this Court to ignore the plain language of the FLSA's opt-in requirement"].) Indeed, the proposed Class Notice here even *admits* that an opt-out process is being applied to FLSA Subclass Members: "You will be treated as a Participating . . . FLSA Subclass Member, participating fully in the Settlement, unless you notify the Administrator in writing, not later than _____________, that you wish to opt-out." (Settlement, Exh. A [Proposed Class Not.], § III.6.) Yet the law is clear that "'[u]nder no circumstances can counsel collude to take away FLSA rights including the worker's right to control his or her own claim without the burden of having to *opt out* of someone else's lawsuit.'" (*Smith*, *supra*, at *11, emphasis added, quoting *Kakani v. Oracle Corp.* (N.D.Cal., June 19, 2007, No. C 06-06493 WHA) 2007 WL 1793774, at *7.) Accordingly, "if Plaintiffs wish to pursue this action as a hybrid action [i.e., a putative class action involving state-law wage-and-hour claims and a collective action under the FLSA,] **the class members** and **[FLSA] collective members [must] have the option to decide if they want to remain in the class action and whether they want to opt-in to the collective action *prior to final approval of the settlement*.**" (*Beltran I*, *supra*, 2020 WL 2850211, at *12, emphases added.) Notice and the opportunity to opt-in prior to final approval of the settlement are important because: In an FLSA action, the court must provide potential plaintiffs accurate and timely notice concerning the pendency of the collective action, so that they can make informed decisions about whether or not to participate. **A collective is not formed until other plaintiffs file consent forms with the court joining (that is, opting into) the original named plaintiff's case.** The procedure here does not provide for a putative member of the collective action to make an informed decision about whether they should choose to participate in the collective action until after final approval of the settlement agreement. **Plaintiffs are required under the FLSA to provide notice of the collective action and an opportunity for the putative members to opt into the**

		> **collective action. The Court finds that to comply with the FLSA the parties must provide notice and an opportunity to opt-in to the FLSA action prior to final approval of the settlement agreement.** The procedure proposed here, having FLSA members opt-in to the collective action by signing the back of their settlement check, does not comply with the requirements of the FLSA. (*Id.* at *13, internal quotes & citations omitted.) Indeed, as the district judge in *Beltran II* acknowledged, "opting in after final approval leaves an opt-in plaintiff with little opportunity to participate meaningfully in the litigation," which is "why there is typically a preliminary approval hearing **followed by notice and an opt-in period**, and then a final hearing." (*Beltran II*, *supra*, 2020 WL 7769822, at *9, internal quotes, brackets, ellipses, & citations omitted, emphasis added.) The parties in *Beltran* had planned for **separate notices** to Rule 23 class members and to FLSA members. (*Beltran I*, *supra*, 2020 WL 2850211, at *6.) The Rule 23 class would be provided with information on how to opt out, while the FLSA notice would provide the deadline to send workweek disputes. (*Id.*) The district judge found that the parties' "proposed Notice explains to the potential FLSA collective members **in detail exactly what their rights are regarding opt-in and opt-out in connection with the FLSA settlement and clearly distinguishes between that procedure and the Rule 23 settlement 'opt-out' process**." (*Beltran II*, *supra*, 2020 WL 7769822, at *9, emphasis added.) Indeed, "in hybrid Rule 23 and FLSA actions, the parties' notice forms must indicate 1) the hybrid nature of the action, 2) the claims involved, 3) the options available to the class members, i.e., how to participate in or abstain from the Rule 23 and FLSA actions, and 4) the consequences of opting in to the FLSA collective action, opting out of the Rule 23 class action, or doing nothing." (*Schmidt v. Vision Service Plan* (E.D.Cal., Aug. 30, 2023, No. 2:20-cv-2400-KJN) 2023 WL 5613103, at *3; see also *Thompson v. Costco Wholesale Corporation* (S.D.Cal., Feb. 22, 2017, No. 14-cv-2778-CAB-WVG) 2017 WL697895, at *8 [same]; *Pierce v. Rosetta Stone, Ltd.* (N.D.Cal., May 3, 2013, No. C 11–01283 SBA.) 2013 WL 1878918, at *4 [same].) Accordingly, in *Beltran II*, the district judge *preliminarily* opined that > [T]he parties plan a notice process that will provide potential FLSA collective members with notice in advance of the final approval hearing, so that they can 'meaningfully participate' should they choose to do so, even if the formal opt-in period does not occur until after final approval. It is the **combination** of the fact that the parties **intend to send separate FLSA and Rule 23 payments** along with the **content of the proposed Notice** that *may* satisfy the [court] that the opt-in by check-cashing is appropriate for the FLSA settlement in this case. The parties will be required to address this issue in far more detail in any motion for final

		approval in the event that preliminary approval is eventually granted. (*Beltran II*, *supra*, 2020 WL 7769822, at *9, internal citation omitted, italics original, bolding added; see also *id.* at fn. 7 ["Having fully vetted the issue and the applicable caselaw in this order, the court will expect effective briefing by the parties. The court gives the parties no assurance as to whether it will find the proposed consent by check cashing provision of the proposed settlement appropriate at the final approval stage of these proceedings if that stage is reached"].) Additionally, the district judge required that the proposed notice be "modified to **explicitly make it even more clear** that any person who is potentially part of both the FLSA collective and the Rule 23 class **may receive multiple checks**." (*Id.*, emphasis added.) The matter was then back to the magistrate judge. (*Beltran III*, *supra*, 2021 WL 1105246, at *1.) After considering the parties' supplemental briefing, the magistrate judge concluded that final approval of settlement proposing the signed-check procedure "could not be granted" "given the weight of authority addressed finding that the procedure does not comport with the FLSA." (*Id.* at *4.) The court found that "there is significant case law in this circuit which calls into question whether such a procedure is sufficient to comport with the FLSA," and no caselaw has made "a substantive finding that consenting to join an FLSA collective action by signing the back of the settlement check is compl[ia]nt with the FLSA." (*Id.* at *2-3.) Ultimately, the parties in *Beltran* abandoned their signed-check proposal and "revised the [settlement] agreement to provide for a **two-step opt in procedure," with "the first step involv[ing] mailing the notice of the FLSA action, an opt-in card, and the settlement terms."** (*Beltran IV*, *supra*, 2021 WL 2284465, at *8, emphases added.) Under the parties' new proposal, "[t]he settlement administrator with the assistance of class counsel will have the opt in forms filed with the court within five days of the opt in deadline." (*Id.*) Thus, "[o]nly those FLSA members who give their consent in writing to become a party and have their consent form filed with the Court will be deemed to have consented to join the FLSA action." (*Id.*) The district judge found this new proposal to have "corrected the deficiencies identified in the FLSA collective action settlement and the opt in procedure comports with 29 U.S.C. § 216(b)." (*Id.*) Other courts have also required parties in similar cases to comply with the FLSA by "directing putative FLSA collective action members to send an opt in form to the Claims Administrator and having Plaintiffs file the opt in forms with the Court." (*Johnson v. Quantum Learning Network, Inc.* (N.D.Cal., Aug. 12, 2016, No. 15-CV-05013-LHK) 2016 WL 8729941, at *1; see also *Kempen v. Matheson Tri-Gas, Inc.* (N.D.Cal., Aug. 1, 2016, No. 15-cv-00660-HSG) 2016 WL 4073336, at *9 [same]; *Oliveria v. Language Line Services, Inc.* (N.D.Cal. 2025) 767 F.Supp.3d 984, 997-998, 1009 [in hybrid action, preliminary approval granted where separate

		procedures and deadlines applied to class members for opting out of California class and to FLSA collective members for opting into FLSA collective, and final approval granted after 42.7% of FLSA collective members opted in].) Here, in contrast, the instant Settlement does not propose that FLSA Subclass Members *first send in an opt-in form* before being treated as a Participating FLSA Subclass Member for settlement purposes. The proposed Class Notice mentions nothing about sending FLSA Subclass Members an opt-in form to be returned prior to the motion for final approval being heard. Instead, the Settlement and Class Notice propose that the FLSA Subclass Members will opt in by signing the back of their settlement checks—which will not be sent until after final approval has already been granted. Moreover, the Settlement provides the following as to how the amount of each FLSA Subclass Member's settlement payment will be calculated: > Each FLSA Subclass Member will be entitled to receive an amount, subject to any applicable employee payroll taxes, equal to a proportionate share of the FLSA Settlement Fund, calculated by (i) the number of the *Participating FLSA Subclass Member's* attributed Workweeks during the FLSA Subclass Period, divided by (ii) the total Workweeks of *all Participating FLSA Subclass Members* during the FLSA Subclass Period. (Settlement, ¶ 3.2.5, emphases added.) It is, of course, fair and reasonable that each Participating FLSA Subclass Member's Individual FLSA Payments will be calculated pro rata based upon that Member's workweeks compared to the total number of workweeks of all Participating FLSA Subclass Members. However, the Settlement here contemplates that the administrator will send out a single check to each Participating Class Member that will *already include* the Participating Class Member's Individual FLSA Payment. That means that the administrator *will have already determined* the total number of workweeks of all "Participating" FLSA Subclass Members *before* any FLSA Subclass Members have actually signed the acknowledgment on the back of the check and indicated their consent to join or participate in the FLSA portion of the Action. How can the administrator determine how many "Participating" FLSA Subclass Members there are or how many total workweeks there are among the "Participating" FLSA Subclass Members before any FLSA Subclass Members have even agreed to participate? And what happens if a Class Member fails to sign the acknowledgment and cash their "single" check, thereby refusing to participate in the FLSA portion of this action? Will the administrator, after the check-cashing period has expired, recalculate how many "Participating" FLSA Subclass Members there actually are and then issue new checks? The Settlement Agreement does not appear to contemplate such recalculation and additional check issuance, as ¶ 4.3.3 provides only that "[a]fter 180 days from the date of their mailing by the Settlement Administrator, the funds from any settlement checks distributing Individual Class Payments,

		Individual FLSA Payments, or Individual PAGA Payments that are returned to the Settlement Administrator as undeliverable or that have not been cashed will be transmitted to Lawyers' Committee for Civil Rights, the cy pres recipient agreed upon by the parties." Moreover, ¶ 3.2.5.2 merely provides: "*Effect of Non-Participating FLSA Subclass Members on Calculation of Individual FLSA Payments.* Non-Participating FLSA Subclass Members will not receive any Individual FLSA Payments. The Administrator will retain amounts equal to their Individual FLSA Payments in the FLSA Settlement Fund for distribution to Participating FLSA Subclass Members as stated in Paragraph 3.2.5." And ¶ 3.2.5, in turn, does not provide for recalculation or issuance of new checks. Additionally, the instant Settlement proposes that *only one combined notice* be sent to all Class Members, Aggrieved Employees, and FLSA Subclass Members. Most importantly, the proposed Class Notice *does not even come remotely close to clearly explaining* the differences between the putative class claims and the FLSA collective claims or the differences between the opt-out class procedure and the opt-in FLSA procedure. As discussed above, "[i]n an FLSA action, the court must provide potential plaintiffs accurate and timely notice concerning the pendency of the collective action, so that they can make informed decisions about whether or not to participate." (*Thompson*, *supra*, 2017 WL 697895, at *8.) "In light of this requirement, and because of the inherent differences between Rule 23 class actions and FLSA collective actions, courts considering approval of settlements in these hybrid actions consistently require class notice forms to explain: (1) the hybrid nature of the action; and (2) the claims involved in the action; (3) the options that are available to California Class members in connection with the settlement, including how to participate or not participate in the Rule 23 class action and the FLSA collection action aspects of the settlement; and (4) the consequences of opting-in to the FLSA collective action, opting-out of the Rule 23 class action, or doing nothing." (*Id.*, internal quotes, brackets, & citations omitted.) Here, the proposed Class Notice is unquestionably deficient and obfuscates the fact that the case alleges an FLSA claim and that to obtain their Individual Class Payments and Individual PAGA Payments, Class Members and Aggrieved Employees will have to give their consent to join the FLSA claim. Here are just a few examples of the proposed Class Notice's deficiencies: 1. In the 1st paragraph, the proposed notice describes the case as only "alleg[ing] violations of the California Labor Code," with no mention of the FLSA. 2. The 1st paragraph also only defines "Class Members" and "Aggrieved Employees," without mention of the FLSA Subclass. Nor does the proposed notice at any point define "FLSA Subclass Members."

3. Similarly, the 2nd paragraph describes the proposed Settlement as having only "two main parts"—i.e., Individual Class Payments and Individual PAGA Payments, with no mention of the Individual FLSA Payments.

4. On p. 3, in Section III.2, the summary of proposed deductions from the GSA does not mention any amount allocated to the FLSA Settlement Fund, even though it mentions the allocation to the PAGA Fund.

5. Also on p. 3, in Section III.3, the description of the Net Settlement Amount ("NSA") likewise makes no mention of Individual FLSA Payments to be made from the FLSA Settlement Fund.

6. Further on p. 3, in Section III.4, the tax treatment summary fails to mention Individual FLSA Payments.

7. The first mention of the FLSA appears at the bottom of p. 2 in the form of a reference to "Individual FLSA Payments" being covered by the GSA. Not only is "FLSA" only ever used in acronym form and never spelled out to reference the "Fair Labor Standards Act," but the proposed notice never explains, inter alia, what is an FLSA claim; how it differs from California state law Labor Code claims; the factual allegations underlying Plaintiffs' FLSA claim; the opt-in procedure required by the FLSA; and how it differs from the opt-out procedure Plaintiffs are using for the non-FLSA and non-PAGA class claims.

8. The first mention that the proposed Settlement requires FLSA Subclass Members to opt in by signing their single check including all types of settlement payments is at the bottom of p. 4 and top of p. 5, where this requirement is buried within the language of the release that all (undefined) FLSA Subclass Members will be subject to.

9. It is true that under Section V, "How Will I Get Paid?" there is a subparagraph 2 that states: "Non-Participating Class Members. Non-participating Class Members and/or FLSA Subclass Members (i.e. Class Members and/or FLSA Subclass Members who opt out of the settlement) will not be eligible for any payment under the Class Settlement. If a Non-Participating Class Member and/or FLSA Subclass Member is also an Aggrieved Employee, the Administrator will send, by U.S. mail, a single Individual PAGA Payment check." But this is far from clear and explicit notice of the consequences of opting in to the FLSA collective action, opting-out of the non-FLSA class action, or doing nothing.

10. As noted above, the proposed notice openly admits that the parties seek to apply the typical opt-out class action procedure to the

FLSA claim in the action: "You will be treated as a Participating Class Member and/or FLSA Subclass Member, participating fully in the Settlement, unless you notify the Administrator in writing, not later than _____________, that you wish to opt-out." (Proposed Class Not., § VI.) As discussed above, applying an opt-out process to the complaint's FLSA claim clearly flies in the face of the FLSA's opt-in requirement.

11. Moreover, in light of the proposed notice's open admission that the proposed settlement requires Class Members to opt into the FLSA claim in order to obtain their Individual Class Payment, the proposed notice's initial explanation that Class Members can "Do Nothing" to "participate in the proposed Settlement and be eligible for an Individual Class Payment" is misleading, at best.

12. Even though the proposed notice has a section titled "III. What Are the Important Terms of the Proposed Settlement," this section does not include a clear admonition that Class Members must opt in to the FLSA claim to receive their Individual Class Payment.

13. In Section VII on p. 6, the proposed notice states that "[o]nly Participating . . . FLSA Subclass Members have the right to object to the . . . FLSA Subclass Settlement." However, the proposed settlement is structured such that participation does not occur until later—i.e., after final approval, after the settlement check is issued, and after the individual signs the checks and elects to opt in to participate in the FLSA claim.

In short, not only is the structure of the proposed settlement problematic, but the proposed class notice is also a far cry from the type of clear notice required by courts in a hybrid action such as this one.

Moreover, as noted above, the instant Settlement proposes that the administrator may *send a single check combining all types of settlement payments*. As explained above, in the *Beltran II*, the district judge preliminarily opined that the check-signing procedure *may* be approved if the separate checks are sent for class settlement payments and FLSA settlement payments. The district judge explicitly required the parties to further amend their proposed class notice to make the separate check requirement explicit. But here, separate checks are not required.

2. Sending a Single Combined Check Results in a "Penalty" to Class Members and Aggrieved Employees for Not Opting into the FLSA Collective Action

The single-check requirement is a second reason why the proposed Settlement is problematic. In essence, the Settlement requires a Class Member who does not wish to opt into the FLSA claim by signing the back of their check to *forfeit their right to collect their Individual Class Payment and Individual PAGA Payment—all while still being bound by the releases applicable to Class Members and Aggrieved Employees*. The proposed Class Notice even *directly admits* this effect of the settlement:

"Non-participating . . . FLSA Subclass Members . . . will not be eligible for any payment under the Class Settlement." (Proposed Class Not., § V.2.)

"As a result, Class Members are assessed a **penalty (in the full amount of their share of the settlement) for not opting-into the FLSA class**." (*Smith v. Kaiser Foundation Hospitals* (S.D.Cal., Nov. 7, 2019, No. 3:18-cv-00780-KSC) 2019 WL 5864170, at *11, internal quotes omitted, emphasis added; see also *Martinez v. Anning-Johnson* (C.D.Cal., Sept. 2, 2015, No. CV 14-6325-GHK (E)) 2015 WL 14097288 ["if a Class Member chooses not to cash a check based on the FLSA release, he or she would still have released all state law claims. In essence, Class Members are assessed a penalty (in the full amount of their share of the Settlement) for not opting-into the FLSA class. We question the legality of imposing such a penalty on the exercise of a federal right to not opt-in under the FLSA."].)

Indeed, courts have repeatedly "questioned the legality of requiring individuals to opt in to an FLSA collective action in order to obtain their share of recovery on non-FLSA claims." (*Haralson v. U.S. Aviation Services Cop.* (N.D.Cal. 2019) 383 F.Supp.3d 959, 969, internal quotes & brackets omitted; see also *Thompson*, *supra*, 2017 WL697895, at *7 ["the settlement requires Rule 23 class members to release FLSA claims to benefit from the settlement of the state law claims," and "the legality of this opt in structure is suspect"].)

3. Class Members Do Not Have the Option of Opting Out of the Class Settlement While Opting Into the FLSA Collective Action

Third, as noted above, the Settlement further proposes that "[f]or any Class Member who opts out, the Administrator will send a check for only the Individual PAGA Payment." (Settlement, ¶ 4.3.1.) This means that a Class Member may not opt out of the state-law-based class action without also forfeiting their right to opt into the FLSA collective action.

In short, "Plaintiffs must provide for a mechanism for a recipient to participate in the Rule 23 class but not opt in to the FLSA collective action that complies with the FLSA. Further, **a member may choose to opt out of the Rule 23 class and opt into the FLSA collective action**. The notice provided to the putative members must: (1) explain how much of the settlement amount will be paid for the release of the FLSA claims; (2) explain and provide a mechanism for recipients to opt-in to the collective action that complies with the FLSA; and (3) explain the consequences of opting into the FLSA collective, opting out of the Rule 23 class, or doing nothing." (*Beltran I*, *supra*, 2020 WL 2850211, at *14, emphasis added.)

Ultimately, as Plaintiffs "chose to proceed with an FLSA action," and "an FLSA action is predicated on opting in instead of opting out," the FLSA portion of the action must comply with "rules that are specifically applicable to these actions and if litigants do not like these rules, they should not file under the FLSA." (*Harro*, *supra*, 174 Cal.App.4th at p. 1077.)

Importantly, Plaintiffs' moving papers *wholly fail to address these issues*. Moreover, as discussed below, Plaintiffs' counsel's valuation analysis also completely omits any discussion of Plaintiffs' FLSA claim. Plaintiffs must submit supplemental briefing and a revised Settlement Agreement and Class Notice that adequately addresses the Court's concerns before preliminary approval can be granted.

Other Issues with Proposed Settlement Agreement

The Court has identified several other issues with the Settlement Agreement and moving papers. Accordingly, the following issues must also be addressed by Plaintiffs' counsel before preliminary approval can be granted:

1. Counsel has failed to provide the court with a text-searchable settlement agreement in compliance with CRC 2.256(b)(3). Many of counsel's other filings suffer from the same defect.

2. The moving papers do not include a copy of any of Plaintiffs' LWDA PAGA notice letters, which the Court needs to verify that the settlement terms are consistent with the notices provided to the LWDA.

3. Paragraph 1.23 contains a clear typo in the text spelling out the amount of the NSA allocated to the FLSA Settlement Fund: "Sixty-Four Six Hundred Thousand ($64,600.00)."

4. Paragraph 1.25 defines "Individual Class Payment" as "the Participating Class Member's pro rata share of the Net Settlement Amount calculated according to the number of Workweeks worked by that Participating Class Member during the relevant period." (See also Settlement, ¶ 3.2.4.) "Net Settlement Amount" (NSA), in turn, is defined as "the Gross Settlement Amount, less the following payments in the amounts approved by the Court: the LWDA PAGA Payment, Class Representative Service Payments, Class Counsel Fees Payment, Class Counsel Litigation Expenses Payment, and the Administration Expenses Payment." (Settlement, ¶ 1.31.)

Therefore, the NSA, by definition, includes both (1) the Aggrieved Employees' 25% share of the PAGA Penalties and (2) the FLSA Settlement Fund. Thus, as phrased, ¶ 1.25 improperly uses the full Net Settlement Amount as the denominator for Individual Class Payments, when $99,125.00 of the NSA should be preserved for paying Individual PAGA Payments and $64,600.00 of the NSA should be preserved for paying Individual FLSA Payments.

5. The parties have designated that unclaimed funds will be remitted to Lawyers' Committee for Civil Rights as the cy pres recipient. (Settlement, ¶ 4.3.3.) However, the parties have not complied with CCP section 384 in demonstrating the propriety of the cy pres recipient by explaining that such a distribution fulfills the purposes of the lawsuit or is otherwise appropriate. The parties also have not provided the Court with any declaration from counsel as to any potential conflict of interest as to the proposed cy pres recipient, as required by CCP section 382.4.

6. There are several problems with the Settlement Agreement's escalator clause at ¶ 7.9.

    a. First, the Settlement Agreement does not define "GFV." The Settlement Agreement does provide for a "Gross Settlement Amount," but that does not translate into an acronym of "GFV."

    b. Second, ¶ 7.9 states that the Settlement is based on a workweek estimate of approximately 3,432,850. However, the moving memorandum of points and authorities provide estimated average payments to Class Members based upon an estimate of "3,505,407 workweeks during the Class Period." (Mot. P&A at pp. 2, 10.) Counsel should explain this discrepancy and ensure that Plaintiffs provide the Court with a proper estimate for average class payments.

    c. Finally, because the escalator clause provides Defendants with the option to shorten the Class Period, the clause not only renders the Class Period uncertain but may also result in otherwise eligible Class Members being excluded from the Settlement.

7. Plaintiffs' counsel must provide a detailed valuation analysis of why the settlement is fair, adequate, and reasonable in light of the strengths and weaknesses of the claims, which should specify (1) the maximum realistic recovery on each claim asserted in the operative complaint, including penalties (calculated based on number of workweeks, average daily pay rate, violation rate, etc.); (2) defenses asserted by Defendant; (3) a summary of the risks, expenses, and duration of further litigation if the settlement is not approved; (4) any other relevant factors justifying the settlement amount (e.g., Defendant's financial condition); (5) the actual discount amounts applied to each claim for certification and merits risks; (6) the adjusted value of each claim after applying any discounts, and (7) an analysis of the GSA as a percentage of the maximum realistic recovery and the risk-adjusted recovery. (See *Munoz v. BCI Coca-Cola Bottling Co. of Los Angeles* (2010) 186 Cal.App.4th 399, 409; *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 129.)

a. On Plaintiffs' PAGA claim, while counsel generally reference risks associated with merits, manageability, and courts' inherent authority to limit penalty amounts, counsel has not provided the Court with any estimates of maximum value or realistic adjusted value for the PAGA claim. Thus, there is insufficient information to allow the Court to evaluate the fairness and adequacy of the $396,500.00 allocated to PAGA Penalties from the GSA.

b. As noted above, counsel's declaration wholly omits any valuation analysis for Plaintiffs' FLSA claim. Thus, the Court has no information to evaluate the fairness and adequacy of the $64,600.00 allocated to the FLSA Settlement Fund from the NSA.

Based on the allegations of the operative complaint, Plaintiffs' FLSA claims are based on the same rounding and regular rate theories discussed above with respect to Plaintiffs' unpaid wages and overtime premium claims under state law. However, the provided valuation analyses of those state law claims do not explain how the parties arrived at $64,600 for the FLSA claims specifically.

Moreover, the complaint also alleges that the FLSA claims are based on Defendants' failure to pay for off-the-clock work, which is not analyzed anywhere in counsel's valuation analysis in support of the instant motion.

Additionally, "in order to settle claims under the FLSA there must be a bona fide dispute. A bona fide dispute exists where there are legitimate questions about the existence and extent of a defendant's liability and there is some doubt that the plaintiffs would succeed on the merits of their FLSA claims in the litigation. If there is no question that the FLSA entitles plaintiffs to the compensation they seek, then a court will not approve a settlement because to do so would allow the employer to avoid the full cost of complying with the statute." (*Beltran I*, *supra*, 2020 WL 2850211, at *11, internal quotes & citations omitted.) "Federal law requires that all hours worked be paid and if there is no dispute that the employees should have been paid for this time then Defendant cannot avoid the full cost of complying with FLSA by settling these claims." (*Id.*) Conversely, where a defendant is not liable under the FLSA or where FLSA claims are meritless, there is also no bona fide dispute. (See, e.g., *Gonzalez v. CoreCivic of Tennessee, LLC* (E.D.Cal., Sept. 13, 2018, No. 1:16-cv-01891-DAD-JLT) 2018 WL 4388425, at *6.) Ultimately, Plaintiffs' counsel has offered no analysis to

		support the finding that the parties have a bona fide dispute under the FLSA or how these claims should be valued. 8. The Settlement Agreement states that the administrator shall make the final determination as to the authenticity and validity of an opt-out request. (Settlement, ¶ 7.5.2.) But the Court will ultimately decide any unresolved dispute regarding the authenticity and/or validity of an opt-out request. 9. The Settlement Agreement also states that the administrator will resolve any workweek/pay period disputes and that the administrator's decision on such disputes will be final and non-appealable. (Settlement, ¶ 7.6.) While the settlement administrator may make the initial decision regarding claim disputes, the Court may review any decision made by the settlement administrator regarding a claim dispute. 10. In ¶ 5.2, Released Class Claims is defined as "[a]ny and all claims, debts, liabilities, demands, obligations, penalties, premium pay, guarantees, costs, expenses, attorney's fees, damages, actions or causes of action of whatever kind or nature, whether known or unknown, contingent or accrued, that were alleged or that reasonably could have been alleged based on the factual allegations that are alleged in the Operative Complaint *or LWDA letters* in Plaintiffs' Actions or that reasonably could have been alleged based on the same set of operative facts alleged in the Operative Complaint *or LWDA letters* in Plaintiffs' actions." (Emphases added.) The Released *Class* Claims should not be based on facts alleged in the *LWDA notice letters*. 11. Paragraph 5.2 also includes an additional paragraph with additional combined definitions applicable to both the "Class and PAGA releases: "These Class and PAGA releases include claims under any legal theory under federal and state law for any alleged failure to pay all wages due (including minimum wage and overtime wages), claims regarding rounding, grace periods, shift tolerance, failure to pay for all hours worked (including off-the clock work), failure to provide meal and rest periods, short/late meal and rest periods, failure to relieve of all duties during meal and rest periods, combining of meal and rest periods, that Defendants' exemption permit from the DLSE is not valid or does not apply to Class Members, failure to timely pay wages and final wages, failure to pay or properly calculate the regular rate of pay, failure to pay or properly calculate meal or rest period premiums, failure to pay or properly calculate paid sick leave, including paid sick leave under the Healthy Workplaces, Healthy Families Act, failure to pay or properly calculate overtime premiums, donning and doffing, pre or post-shift testing or inspections, health status related activities including testing, reporting, and queuing for testing, reporting time pay, on-call pay, failure to furnish accurate wage statements

		including claims derivative and/or related to these claims, liquidated damages, conversion of wages, that the Labor Code Section 514 exemption does not apply to Defendants' employees, pre and post-shift work and record-keeping violations, including claims for violation of Labor Code Sections 201, 202, 203, 204, 210, 206, 216, 218, 218.5, 218.6, 221-224, 225.5, 226, 226.3, 226.7, 227, 227.3, 233, 245 et seq., 510, 511, 512, 516, 517, 551, 552, 558, 1174, 1174.5, 1175, 1182.12, 1194, 1194.2, 1195, 1197, 1197.1, 1198, 1198.5, 1199, all claims and theories arising under Labor Code Section 2802 (except as set forth in paragraph 5.2.1 below), provisions of the Wage Orders that are analogous to such Labor Code provisions, as well as claims under Business and Professions Code section 17200 et seq. and/or Labor Code Section 2698 based on the factual allegations that are stated in the Operative Complaint or LWDA letters in Plaintiffs' actions, or that reasonably could have been alleged based on the same set of operative facts alleged in the Operative Complaint or LWDA letters in Plaintiffs' actions." a. First, from a grammatical standpoint, ¶ 5.2 is difficult to follow and parse. The parties should clarify which phrases go together and which phrases modify which other phrases by using semicolons in addition to commas, as well as appropriate conjunctions. b. Second, ¶ 5.2 inappropriately lumps together the definitions of Released Class Claims and Released PAGA Claims into a single combined definition applicable to both types of claims. But these two different types of releases are distinct, as a Class Member who opts out of the Settlement is not bound by the Released Class Claims but would still be bound by the Released PAGA Claims. 12. Paragraph 5.3 of the Settlement Agreement states, in relevant part: "*Release by FLSA Subclass Members:* FLSA Subclass Members who timely cash or otherwise negotiate their Settlement Payment Check will be deemed to have opted into the Action for purposes of the FLSA and, as to those Class Members, the Released Claims include any and all claims the Class Members may have under the FLSA arising under or related to the alleged claims during the Class Period. Only those FLSA Subclass Members who timely cash or otherwise negotiate their Settlement Payment Check will be deemed to have opted into the Action for purposes of the FLSA and thereby release and waive any of their claims under the FLSA arising under or relating to the alleged claims. . . ."

		a. This ¶ 5.3 appears to suggest that no FLSA claims would be released except by opting into the FLSA portion of the Action. However, this contradicts the combined definition for Released Class Claims and Released PAGA Claims in ¶ 5.2, which purports to include within its broad reach FLSA claims, as such claims fall under the definition of "claims under any legal theory under federal . . . law for any alleged failure to pay all wages due (including minimum wage and overtime wages), claims regarding rounding, grace periods, shift tolerance, failure to pay for all hours worked (including off-the clock work)." Thus, a Participating Class Member who does not sign and cash their one single payment check, and therefore does not opt into the FLSA portion of the Action, will still be deemed to have released their FLSA claims under ¶ 5.2. Notably, in contrast, in *Beltran I*, the parties' proposed release for the general class claims explicitly includes only "statutory . . . claims for wages . . . based on any and all applicable statutes (other than the Fair Labor Standards Act[])." (*Beltran I*, *supra*, 2020 WL 2850211, at *4.) b. The Released FLSA Claims is also worded differently and more broadly than the other released claims in that the FLSA release purports to release "any and all claims the Class Members may have under the FLSA *arising under or related to the alleged claims* during the Class Period." (Settlement, ¶ 5.3, emphasis added; see *Amaro*, *supra*, 69 Cal.App.5th at p. 538, emphasis original [settlement's release is overbroad where it purports to release "potential claims . . . relating in any way to the . . . theories pled," as "the release must be tied to the *factual allegations* in the complaint, not claims or theories of liability asserted"].) Instead, the FLSA release should be rephrased to release "any and all claims the Class Members may have under the FLSA that were alleged or that reasonably could have been alleged based on the factual allegations that are alleged in the in the Operative Complaint," which matches the language used for the Released Class Claims and the Released PAGA Claims. 13. The Settlement Agreement should specify that the Court's continuing jurisdiction is pursuant to California Code of Civil Procedure section 664.6 and California Rules of Court, rule 3.769(h). 14. Plaintiffs' counsel must attest to whether there are any concurrent pending cases involving similar claims against Defendant that may

be impacted by the settlement and how, or confirm that there is none.

15. The complaint was filed November 9, 2022, and the LWDA notice was served the same day. Yet the Class Period, PAGA Period, and FLSA Subclass Period are all defined as February 6, 2024 through December 31, 2025. A class period that begins more than fifteen months *after* filing is unusual and unexplained; it appears to exclude a substantial cohort of employees with pre-2024 claims within the limitations periods. This may be a product of the carve-outs for the *Jones*, *Uribe*, and *LeDoux* actions referenced in § 5.2.1, but that is not explicitly stated. Counsel must explain why the class period starts as of November 2024 and why excluding pre-2024 employees is appropriate, particularly given the release period.

Other Issues with Proposed Class Notice

The Court has identified several other issues with the proposed Class Notice. Accordingly, the following issues must also be addressed by Plaintiffs' counsel before preliminary approval can be granted:

1. The notice must also be revised so as to be consistent with the resolution of all issues identified above with respect to the Settlement Agreement.
2. The following sentences on p. 1 should be bolded: "Your legal rights are affected whether you act or not act. Read this Notice carefully. You will be deemed to have carefully read and understood it."
3. On pp. 1-2, it is confusing to list only 2 options at first and then list 4 options immediately thereafter. These two sections should be combined into a single section that just identifies the 4 main options.
4. The notice states twice—once in the chart of 4 main options and once in Section VII—that Class Members cannot object to the PAGA settlement. This is incorrect, as they can object—they just cannot opt out.
5. Rather than having Class Members draft their own opt-out requests, objections, and workweek disputes, the notice should include separate forms for each of these processes.
6. In Section VII, the notice states that "[i]f you submit a written objection, you may also choose to attend (or personally retain a lawyer to object at your own cost) the Final Approval Hearing." This is inappropriate as phrased, as it conditions the Class Member's ability to attend the Final Approval Hearing upon submission of a written objection first. The Court will generally hear from any Class Members who attend the final approval hearing and ask to speak regarding an objection, irrespective of whether the Class Member submitted a written objection in advance.
7. The notice should state that any Class Member who does not request exclusion may, if the Member so desires**,** enter an

appearance through counsel. (Cal. Rules of Court [CRC], rule 3.766(d)(5).)

8. The notice should specify that the judgment, "whether favorable or not," will be binding all Class Members who do not request exclusion. (CRC, rule 3.766(d)(4).)

Issues with Proposed Order

The Court has identified several issues with the [Proposed] Preliminary Approval Order. Accordingly, the following issues must also be addressed by Plaintiffs' counsel before preliminary approval can be granted:

1. As a preliminary note, the [Proposed] Preliminary Approval Order makes zero mention of the FLSA claim, the "FLSA Subclass," or the FLSA Settlement Fund.
2. The proposed order should be revised to incorporate the relevant revisions identified above, including attaching the revised Class Notice(s).
3. Attorney information must be deleted from the caption page.
4. The date for the preliminary approval hearing should be updated to reference the continued hearing date.
5. The proposed order should reference by name and ROA number all the declaration(s) to which the Settlement Agreement and any amendments thereto are attached.
6. In ¶ 8, the proposed order should specify the names of the Plaintiffs who are provisionally appointed as representatives of the Class.
7. The proposed order should specify all dollar amounts proposed to be allocated from the GSA to attorneys' fees, litigation costs, enhancement(s), administration costs, and PAGA penalties (including to the LWDA and to Aggrieved Employees).
8. Counsel should not leave blank but should instead propose a realistic Final Approval hearing date, taking into account the deadlines associated with mailing and remailing the notice and responses thereto and the documentation required to support final approval (including but not limited to time records or a summary of time spent by Class Counsel so as to enable the Court to evaluate the lodestar and attorneys' fee request; detailed litigation cost breakdowns; an Administrator declaration and invoice; and Plaintiff's declaration to support the enhancement request). The Court usually sets these hearings at least 4 months after preliminary approval of a typical settlement not involving an FLSA claim requiring an opt-in process. All supporting papers must also be filed at least sixteen (16) court days before the Final Approval hearing date.
9. The proposed order should specify the Court's continuing jurisdiction pursuant to both California Code of Civil Procedure section 664.6 and California Rules of Court, rule 3.769(h).

The Court further refers Plaintiffs' counsel to the "Guidelines for Approval of Class Action Settlements & PAGA Settlements" posted on

		the Court's website for Department CX102, available at https://voypubapps.occourts.org/complex-civil-calendar. Plaintiffs' counsel must file supplemental papers addressing the Court's concerns no later than sixteen (16) court days prior to the continued hearing date. Counsel must also provide redlined versions of all revised papers and an explanation of how the pending issues were resolved with precise citation to any revisions. A supplemental declaration or brief that simply asserts the issues have been resolved is insufficient and will result in a further continuance. If supplemental papers addressing all of the Court's concerns cannot be filed by the pre-hearing deadline, counsel must request a continuance. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions. Plaintiffs are ordered to give notice of this Court's ruling, including to the LWDA, within five (5) court days, and file proof of service.
112	**Martinez vs. Horizon Lighting, Inc.** **2024-01372183**	**Motion for Preliminary Approval** Plaintiff Jonathan Arce's Motion for Preliminary Approval of Class Action and PAGA **Settlement is CONTINUED to October 22, 2026 at 2:00 p.m. in Department CX102** in order to give Class Counsel an opportunity to address the issues identified below. This is a putative wage-and-hour class action and PAGA matter. On 1/12/2024, Plaintiff Daniel Martinez, individually and on behalf of all others similarly situated, filed a class action complaint against Defendant Horizon Lighting, Inc. (ROA #2.) On 2/21/2024, Plaintiff filed a first amended complaint (FAC), adding a cause of action for PAGA penalties. (ROA #14.) On 3/20/2024, Defendant answered the FAC. (ROA #16.) On 11/20/2025, the operative complaint, i.e., the second amended complaint (SAC), was filed pursuant to the parties' stipulation filed on 10/30/2025 and the Court's order entered on 10/31/2025. (ROA #65.) The SAC added Arce as a named Plaintiff and alleges various Labor Code wage-and-hour violations and unfair business practices, including a claim for PAGA penalties. (ROA #65.) On 12/11/2025, Defendant answered the SAC. (ROA #76.) On 4/14/2026, the Court granted Plaintiffs' counsel's motion to be relieved ss counsel to Plaintiff Martinez on 4/14/2026. (ROA #87.) The Court also set an OSC for 5/7/2026 as to why the Court should not strike Martinez's class claims and PAGA claims for failure to appear through counsel. (*Id.*) Martinez failed to appear himself or through counsel on 5/7/2026, so the Court found Martinez to be self-represented and that he is no longer permitted to serve as a class representative or otherwise act in a representative capacity for potential aggrieved employees under PAGA. (ROA #95.) On 5/26/2026, Plaintiff Arce filed the instant Motion for Preliminary Approval of the Class Action and PAGA Settlement, and submitted the

		Stipulation of Class and Representative Action Settlement ("Settlement Agreement") and Class Notice for the Court's review. The motion seeks preliminary approval of the parties' proposed settlement of Plaintiff's class and PAGA claims for the non-reversionary gross settlement amount (GSA) of $515,000. The GSA includes $25,000 allocated for PAGA penalties. The Court has identified several issues with the Settlement Agreement and moving papers. Accordingly, the following issues must be addressed by Class Counsel before preliminary approval can be granted: 16. Counsel has failed to provide the court with a text-searchable settlement agreement in compliance with CRC 2.256(b)(3). 17. The Settlement Agreement provides at ¶ 48.ii that if a Class Notice is re-mailed to a Class Member less than ten (10) days prior to the Response Deadline, the Class Member shall have their Response Deadline extended by ten (10) days from the date the Settlement Administrator re-mails the Class Notice. However, all Class Members who receive remailed notices should be given an extension of all relevant deadlines of preferably at least 30 days from remailing. 18. In ¶ 47.b., the Aggrieved Employees' Released Claims is defined as "any and all claims and/or causes of action under PAGA which are based upon the factual allegations set forth in the Operative Complaint and arising at any time during the PAGA Period." However, this release should be reworded to release all claims that were or reasonably could have been asserted based on the facts alleged in the <u>LWDA notice letter and</u> Operative Complaint. Class Counsel must also provide the Court with a revised Class Notice with the following revisions: 9. The notice should be revised so as to be consistent with the resolution of the issues identified above. 10. On p. 1, after the sentences, "Your legal rights are affected whether you act or not act. Read this Notice carefully," another sentence should be added, also in bold: "You will be deemed to have carefully read and understood it." 11. On p. 3, the notice includes a statement that "Plaintiff also believes the Settlement is in the best interests of all Class Members." However, the Class Notice should "avoid any commentary on the merits of the settlement." (Guidelines for Approval of Class Action Settlements & PAGA Settlements, ¶ I.C.35.) 12. Rather than having Class Members draft their own opt-out requests, objections, and workweek disputes, the Class Notice should include separate forms for each of these processes. 13. In addition to Class Counsel's contact information, the notice should also provide (1) a URL to a website, maintained by the settlement administrator or plaintiff's counsel, that has links to the notice and key case documents; and (2) for persons who wish to review the court's docket for the case, the court's URL.

		14. The notice should specify that the judgment, "whether favorable or not," will be binding all Class Members who do not request exclusion. (CRC, rule 3.766(d)(4).) Class Counsel must also provide a revised [Proposed] Order Granting Preliminary Approval with the following revisions: 10. The proposed order should be revised to incorporate the relevant revisions identified above, including attaching the revised Class Notice. 11. Attorney information must be deleted from the caption page. 12. The date for the preliminary approval hearing should be updated to reference the continued hearing date. 13. The proposed order states that the Settlement Agreement and Class Notice are attached as Exhibits A and B, but the attachments are missing. In any case, the proposed order should instead reference by name and ROA number all the declaration(s) to which the Settlement Agreement/Class Notice and any amendments thereto are attached. 14. The proposed order should also include the definitions for PAGA Aggrieved Employees and the PAGA Period. 15. The proposed order should specify the amounts proposed to be allocated from the GSA to attorneys' fees, litigation costs, enhancement(s), administration costs, and PAGA penalties (including to the LWDA and to Aggrieved Employees). 16. All papers in support of the Motion for Final Approval must be filed at least sixteen (16) court days before the Final Approval hearing date. 17. The proposed order should specify the Court's continuing jurisdiction pursuant to both California Code of Civil Procedure section 664.6 and California Rules of Court, rule 3.769(h). The Court further refers Class Counsel to the "Guidelines for Approval of Class Action Settlements & PAGA Settlements" posted on the Court's website for Department CX102, available at https://voypubapps.occourts.org/complex-civil-calendar. Class Counsel must file supplemental papers addressing the Court's concerns no later than sixteen (16) court days prior to the continued hearing date. Counsel must also provide redlined versions of all revised papers and an explanation of how the pending issues were resolved with precise citation to any revisions. A supplemental declaration or brief that simply asserts the issues have been resolved is insufficient and will result in a further continuance. If supplemental papers addressing all of the Court's concerns cannot be filed by the pre-hearing deadline, Class Counsel must request a continuance. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions. Plaintiff is ordered to give notice of this Court's ruling, including to the LWDA, within five (5) court days, and file proof of service.

113	**Cruz vs. Level 23 Fab Inc.** **2022-01295952**	**Motion for Approval of PAGA Settlement** The court has reviewed and considered the parties' joint statement (ROA 91) regarding plaintiff's motion for approval of a $50,000 PAGA settlement. **The hearing on plaintiff's motion for approval is continued to November 19, 2026 at 2:00 p.m. in Department CX102.** All supplemental papers shall be filed 16 court days prior to the hearing and otherwise consistent with the court's prior minute order (ROA 84). Plaintiff is ordered to give notice, including to the LWDA, and to file a proof of service.
114	**Wilson vs. American First Credit Union** **2024-01391465**	**Motion for Final Approval Class/PAGA Settlement** Plaintiff Dorsha Wilson's Motion for Final Approval of Class Action and PAGA Settlement is **GRANTED**. This is a putative wage-and-hour class action and PAGA matter. On 4/3/2024, Plaintiff Dorsha Wilson, individually and on behalf of all others similarly situated, filed a class action complaint against Defendant American First Credit Union. (ROA #2.) The operative complaint is the first amended complaint (FAC), filed on 7/14/2024 per stipulation and order, alleging various Labor Code wage-and-hour violations and unfair business practices, including a claim for PAGA penalties. (ROA #47.) On 8/1/2025, Plaintiff filed the Motion for Preliminary Approval of Class Action Settlement. (ROA #62.) On 3/5/2026, at the 2nd hearing, the Court granted the motion. (ROA #88.) On 3/6/2026, the Court entered the signed order granting preliminary approval. (ROA #91.) On 7/27/2026, Plaintiff filed the instant Motion for Final Approval of Class Action and PAGA Settlement. (ROA #110.) The motion seeks approval of the Joint Stipulation of Class Action and PAGA Settlement and First Amendment to Class Action Settlement Agreement (collectively, "Settlement Agreement"), which provides for the settlement of Plaintiff's class and PAGA claims for the non-reversionary gross settlement amount ("GSA") of $625,000. The GSA includes $50,000 allocated for PAGA penalties. The Class is comprised of 208 Class Members, defined as "all current and former hourly-paid or non-exempt employees who worked for Defendant in the State of California at any time during the Class Period." The Class Period is 4/3/2020 through 5/11/2025. The settlement also includes 141 Aggrieved Employees, defined as "all current and former hourly-paid or non-exempt employees who worked for Defendant in the State of California at any time during the PAGA Period." The PAGA Period is 4/3/2023 through 5/11/2025. The settlement administrator, ILYM Group, Inc., reports as follows:

- On 3/27/2026, the administrator sent class notices via U.S. Mail to 208 Class Members, including 141 Aggrieved Employees .
- As of 7/17/2026:
    - Six (6) class notices were returned to the administrator as undeliverable. After skip tracing, the administrator remailed 4 notices, but 2 remained undeliverable.
    - One (1) request for exclusion was received from Lisa A. Davila, who will not be bound by the judgment in this case.
    - No objections, or workweek disputes were received.

Therefore, 207 of 208 Class Members or 99.5% of the Class is participating in the settlement.

The Court concludes that the $625,000 settlement is fair, adequate, and reasonable, and in the best interests of the Class Members. The Court also concludes that the notice to the Class was adequate. The Court also certifies the defined Class for settlement purposes only.

The Court concludes that an attorneys' fee award totaling $187,500 or 30% of the GSA, constituting a 1.37 multiplier against the lodestar amount, is fair, adequate, and reasonable for a class and settlement of this size, including considering the action's contingent nature and the results achieved.

The Court also concludes that litigation costs should not include overhead or nonrecoverable items such as postage. Therefore, the Court deducts $17.12 from Lawyers for Justice's requested amount and awards that firm $17,927.21.

The Court further concludes that a Class Representative Enhancement Award of $5,000 is fair, adequate, and reasonable for a class and settlement of this size, considering that there was nothing extraordinary about Plaintiff's contribution to the case.

Accordingly, the Court approves the following specific awards and disbursements from the GSA:

- Attorneys' fees totaling $187,500.00 awarded to Class Counsel, split 50-50 between Lawyers for Justice and Parker & Minne per Plaintiff's and counsel's fee-splitting agreement, with $93,750.00 awarded to Lawyers for Justice, PC and $93,750 awarded to Parker & Minne, LLP;
- Litigation costs totaling $18,457.63 awarded to Class Counsel, with $17,927.21 awarded to Lawyers for Justice, PC and $530.42 awarded to Parker & Minne, LLP;
- Settlement administration costs of $7,350.00 awarded to ILYM Group, Inc.;
- Class Representative Enhancement Award of $5,000.00 awarded to Plaintiff Dorsha Wilson; and

		$32,500.00 remitted to the Labor and Workforce Development Agency (LWDA) for its share of the PAGA penalties. The Net Settlement Amount payable to all Class Members is $374,192.37, including the $17,500.00 in PAGA penalties to be distributed to the Aggrieved Employees, in accordance with the terms of the Settlement Agreement. Pursuant to the Settlement Agreement, Defendant is ordered to separately pay all employer payroll taxes owed on the wage portions of the individual settlement payments. **Within five (5) court days, Class Counsel must submit a revised Proposed Order of Final Approval and Judgment with the following revisions**: 1. The specific awards and disbursements should be revised to reflect the amounts set forth in this order. 2. Attorney information must be deleted from the caption page. 3. The revised proposed order and judgment should specify the ROA number of counsel Parker's declaration filed in support of this motion, to which the original Settlement Agreement and the First Amendment are attached. 4. The proposed order and judgment should identify by name the class member who opted out and thus will not be bound by the judgment. 5. The proposed order and judgment should also state that no class members submitted workweek disputes. 6. The proposed order and judgment should state that the settlement administrator will post a copy of the order and judgment on the website for 180 days rather than just 60 days. 7. The proposed order and judgment should state that the Court's continuing jurisdiction is pursuant to both California Code of Civil Procedure section 664.6 and California Rules of Court, rule 3.769(h). **Final Accounting is set for March 23, 2028, at 2:00 p.m. in Department CX102.** Counsel shall submit the final report of the settlement administrator regarding the status of the settlement administration no later than sixteen (16) court days prior to the hearing date. The final report must include all information necessary for the Court to determine the total amount of the settlement funds actually paid to the Class Members and all others in accordance with the Settlement Agreement, as well as the amount of unclaimed funds, if any, remitted to the State Controller's Unclaimed Property Fund. If the settlement funds are not completely disbursed by the report deadline, Class Counsel must request a continuance. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions. Plaintiff is ordered to give notice of this ruling, including to the LWDA, and file proof of service within five (5) court days.